

Corridor, Not Factory: Trade Reorientation and the Missing Investment Response in Kazakhstan, 2022–2025

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Abstract

A large, sector-specific rise in demand for a tradeable good is expected to induce domestic investment. After February 2022, with Russia’s direct trade with its main partners disrupted, part of it was reallocated through neighbouring economies, Kazakhstan among them. Using product-level trade data (HS6, 2018–2025) we measure the demand shock, estimate what Kazakhstan retains, and ask whether it induced investment. In 29 product lines, exports to Russia rise discontinuously in May 2022, roughly tenfold; an externally compiled product list, not selected on Kazakh outcomes, shows the same break. Propagating a wholesale-and-freight margin (6–14%, a band we choose rather than estimate) through the input–output table implies domestic value added of 5–11 cents per rerouted dollar, against about three-quarters for a produced dollar. Across three commercial deal databases we find no investment response in the reoriented lines, though four post-2022 years rule out only a large one. We read the null through three gates: market access, irreversibility, and capital-market institutions. The case identifies an open market-access gate, created by a customs union that makes trade a close substitute for production, and rules out capital-market institutions as the binding constraint; whether irreversibility independently binds cannot be settled here. Kazakhstan operates as a corridor, not a factory.

Keywords: trade reorientation; demand shocks; investment under uncertainty; irreversibility; industrial policy; value added; institutional voids; transit economies; Kazakhstan.

JEL classification: F14; F15; E22; D25; O14; O24; O33; P33.

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Data availability. The trade analysis uses public data: UN Comtrade, World Bank World Development Indicators, the OECD Inter-Country Input–Output tables (2023 edition), and the Kazakhstan Bureau of National Statistics symmetric input–output and resources tables. The deal-level data are licensed from Capital IQ, PitchBook and Preqin and cannot be redistributed, but the full query specification and the native source deal identifiers are in the replication package, so the extract is reconstructible by a licence holder. State-fund investment aggregates are from the published QIC/AIFC/IFC report.

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CRedit authorship contribution statement. **Zhanbolat Kakishev:** Conceptualization, Methodology, Software, Formal analysis, Data curation, Writing – original draft, Writing – review & editing, Visualization.

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